



ECO4129Z - Accounting for Portfolio Managers

Test 2

INSTRUCTIONS TO CANDIDATES

- Do not open this paper until instructed to do so.
- No student is to leave the test venue during the last 20 minutes of the test.
- A blue or black pen must be used throughout your answer. Work done in pencil or using Tippex will not be marked.
- The invigilators will answer no content-related questions during the examination. Make whatever assumptions you deem appropriate and clearly state these in your answer. Any reasonable assumption will be considered.

The duration of this test paper (as indicated in the table below) includes appropriate reading time.

Question	Marks	Time
1	40	60 minutes

This paper consists of 5 pages, including this cover page.

Part A

(21 Marks: 31.5 minutes)

Refer to the extracts from the 2024 Integrated Report of Woolworths Holdings:

1. Explain the difference between the Group Statement of Comprehensive Income and the Group Statement of Financial Position. ^{SOCI} ^{SOP} (2 marks)
2. Compare the “Tax expense” included in the Group Statement of Comprehensive Income and the item “Tax paid” in the Group Statement of Cash Flows. Explain why they differ. (3 marks)
3. List the elements included in “Working capital movements” in the Group Statement of Cash Flows. (3 marks)
4. Briefly explain the difference between “Turnover” and “Other income” and give an example of each in the context of Woolworths. (4 marks)
5. Explain why Woolworths labelled their profit after tax as “Profit from continuing operations” specifically and why this is correct in the context of Woolworths. (3 marks)
6. The Group Statement of Comprehensive Income includes “Earnings per share” and “Headline earnings per share”. Explain what is meant by each of these terms and provide an example of a difference between the two. (3 marks)
7. Discuss the difference between “Right-of-use assets” and “Property, plant and equipment”. Your discussion should refer to the concept of ownership of each asset type. (3 marks)

PART A

1.
 - The former records the firm's operating activities & profits ^{e.g. 2024} for particular period
 - The latter records the firm's performance @ point in time (includes all yrs)
2. They differ because the tax expense (10/19) in SOCI represents the full obligation/expense while the tax paid (9/11) in SOCF represents only what they have paid, meaning there is still an outstanding liability
3.
 - inventory
 - Tr. rec.
 - Tr. pay
4.
 - Turnover is income from the firm's normal operations e.g. selling bread
 - Other income is income outside the ordinary course of business e.g. from renting their offices
- 5.
- 6.

Part B**(12 Marks: 18 minutes)**

You have been provided with the following financial ratios compiled from the 2024 and the 2023 Integrated Reports of Woolworths Holdings disclosure:

	2024	2023
Inventory Days	15.07 Days	17.38 Days
Debt ratio	71.77%	69.36%
Acid test ratio	0.50 times	0.67 times
Fixed Asset Turnover	452.64 times	445.50 times

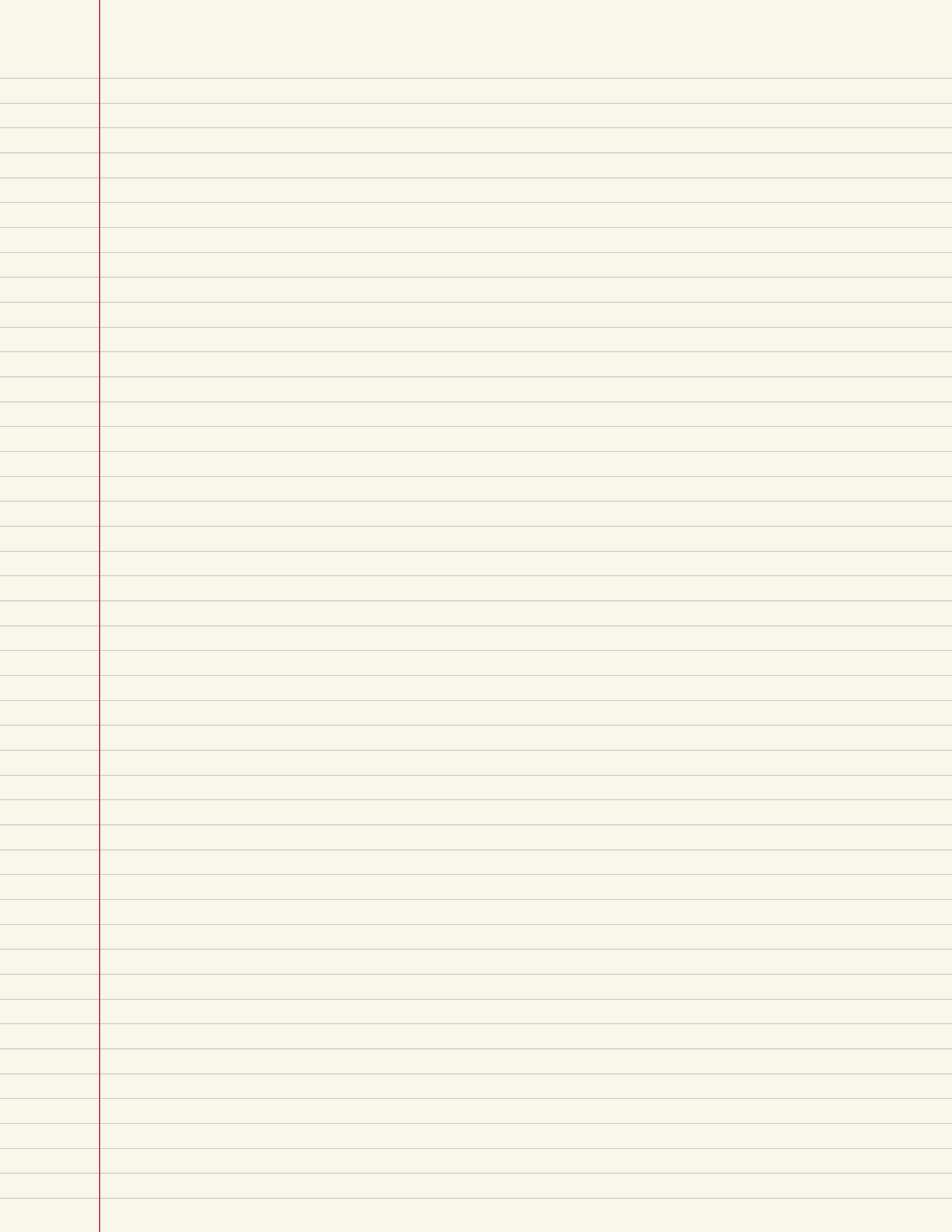
1. Briefly describe what each of the ratios listed above is measuring. (4 marks)
2. Based on these financial ratios only, analyse the performance of Woolworths Holdings. (8 marks)

Part C**(3 Marks: 4.5 minutes)**

Explain what a customer loyalty program is and give an example of one in South Africa. How are customer loyalty programmes accounted for in the financial statements?

Part D**(4 Marks: 6 minutes)**

With reference to the article “Is Enron overpriced?”: how does the concept of an “It Stock” apply to Enron, and what are the implications for investors?



Appendix A – Extracts from the 2024 Integrated Report of Woolworths Holdings

GROUP INCOME STATEMENT

“The Group delivered a post-tax profit of R2.5 billion, having managed to effectively navigate external headwinds”

	52 weeks 2024 Rm	52 weeks 2023 Rm	% change
Turnover and concession sales	76 360	73 228	4.3
Concession sales	(1 201)	(962)	
Turnover	75 159	72 266	4.0
Cost of sales	48 132	45 440	5.9
Gross profit	27 027	26 826	0.7
Other revenue	632	281	>100
Expenses	21 846	20 394	7.1
Adjusted operating profit	5 813	6 713	(13.4)
Net finance costs	1 534	1 303	17.7
Earnings from joint ventures	223	102	>100
Adjusted profit before tax	4 502	5 512	(18.3)
Adjustments	(990)	(140)	
Profit before tax	3 512	5 372	(34.6)
Tax expense	1 019	1 489	(31.6)
Profit from continuing operations	2 493	3 883	(35.8)

PROFIT, EARNINGS PER SHARE (EPS), HEADLINE EPS (HEPS) AND ADJUSTED DILUTED HEPS

The total Group reported results for the 52-week year is a profit after tax of R2 493 million. The post-tax impact of the 53rd week is an increase to profit of R107 million.

	53 weeks to 30 Jun 2024 cents	52 weeks to 23 Jun 2024 cents	52 weeks to 25 Jun 2023 cents	Change on prior period 53 weeks %	52 weeks %
Continuing operations					
EPS (cents)	289.2	277.3	421.1	(31.3)	(34.1)
HEPS (cents)	364.2	352.3	423.4	(14.0)	(16.8)
Adjusted diluted HEPS (cents)	387.2	375.4	427.7	(9.5)	(12.2)
WANOS (millions)	896.5	896.5	920.9	(2.6)	(2.6)
Total Group					
EPS (cents)	289.2	277.3	551.0	(47.5)	(49.7)
HEPS (cents)	364.2	352.3	514.7	(29.2)	(31.6)
Adjusted diluted HEPS (cents)	387.2	375.4	508.3	(23.8)	(26.1)

EPS of 289.2cps is 34.1% down on last year, impacted mainly by the A\$49.6 million impairment of goodwill associated with the Politix brand. Excluding the impairment, EPS was down 18.0% on last year, while HEPS and adjusted diluted HEPS decreased by 16.8% and 12.2%, respectively.

DIVIDEND PER SHARE (DPS)

The Board declared a final dividend of 117.5cps, at a payout ratio of 70% on a 52-weeks earnings basis. An interim DPS of 148.0 cents was paid, with the total dividend for the year of 265.5cps, a decrease of 15.2% on the prior year.

SUMMARISED STATEMENT OF CASH FLOWS

“Positive free cash flow of R2.6 billion; healthy cash conversion of 95%”

	2024 Rm	2023 Rm
Cash inflow from trading	9 510	12 427
Working capital movements	(949)	(1 052)
Cash generated by operating activities	8 561	11 375
Investment income received	166	179
Finance costs paid	(1 737)	(2 058)
Tax paid	(911)	(1 487)
Cash generated by operations	6 079	8 009
Dividends received from joint ventures	91	-
Dividends paid	(2 741)	(2 869)
Net cash inflow from operating activities	3 429	5 140
Net investment in assets	(3 351)	(2 477)
Net cash outflow from acquisition of subsidiary	(581)	-
Net cash inflow from disposal of subsidiary	-	26
Other loans advanced	-	(5)
Net cash outflow from investing activities	(3 932)	(2 456)
Net acquisition of Treasury shares and settlement of share-based payments through share purchases	(637)	(328)
Shares repurchased	-	(2 936)
Lease liabilities repaid	(1 854)	(2 592)
Net borrowings raised/(repaid)	835	700
Net cash outflow from financing activities	(1 656)	(5 156)
Net cash outflow for the period	(2 159)	(2 472)